

**Therefore common sizing helps us determine how the company's resources are used in general and how they change over time.**

You receive pre-done work from the morning star tool, so we strongly advise you to experiment to gain a thorough understanding of any company's financials.

We have understood the ratios, how businesses operate and how the ratios change. Also, we have learned how to common-size them. We are primarily looking for changes.

Absolute numbers, such as a 4 percent net profit margin, are meaningless. We need to understand them over a period of time how they are changing and also compare with other players. Such analysis should give a very good explanation of the business.

**Generally, Return on Equity should be at least 15% or increasing. The return on capital should be higher than 12% but it also depends on capital structure.**

Such analysis can help us understand any business in great detail.